By plausible we mean that it shouldn’t raise eyebrows every time you cross a border. If you claim to be a permanent resident of a country, you should at least speak the local language.

Once you have your permanent residence established, you then can work on building out the structures that you need, depending on the laws of the resident country. That poses particular challenges for Americans, which we’ll get to in a moment. But first a word about how the world actually works.

TAXES ARE LARGELY A MATTER OF CULTURE

We lived for many years in Europe. We paid taxes in the United States, France, and England simultaneously. Our businesses, meanwhile, paid taxes in the United States, France, Britain, Ireland, India, Spain, South Africa, and Australia. We were audited by several countries, often simultaneously. We were cross-referenced. We were studied, followed, tracked, and shaken down.

The experience showed us how the tax system really works. First, you have to understand, there is no real, single, clear tax law. There are lots of tax laws. Often, they are incomprehensible, mutually inconsistent, and almost impossible to apply in a rational, foreseeable way. Just how they are applied is as much a matter of culture, temperament, and fashion as it is of law.

Americans are particularly ill-prepared to deal with international taxation in an effective way. We Americans tend to try to obey the law.

When we first moved to France, we confronted a different type of tax system. We bought a house. Naturally, we hired lawyers to structure the purchase in a taxwise manner. And naturally, the lawyers failed to foresee what would happen. Within a few months, we got a notice telling us we owed a rather large amount of tax, the consequence of a detail we no longer recall.